INTERNATIONAL FLOW OF FUNDS

AGENDA

Today we will discuss

- Key components of the balance of payments.
- Growth in international trade activity over time.
- How international trade flows are influenced by economic and other factors.
- How international capital flows are influenced by country characteristics.
- Agencies that facilitate the international flow of funds.

THE BALANCE OF PAYMENTS

- **(BOP) is an accounting of a country's international transactions for a particular time period.**

- **Any transaction that causes money to flow into a country is a credit to its BOP account, and any transaction that causes money to flow out is a debit.**

- **The BOP includes**
  - **the current account - mainly measures the flows of goods and services, earnings on investments, aid and grants**
  - **the financial account, which records investment flows, such as DFI and portfolio investment**
  - **the capital account - capital transfers and the acquisition and disposal of non-produced, non-financial assets**

CURRENT ACCOUNT

Current Account is further differentiated into three components

- **Trade Income** – Exports and imports of goods and services.
  - Difference between exports and import is referred to as **Trade Balance**
- **Factor Income (Primary Income) -** income on investments in DFI, interest and dividends
- **Transfer Payments (Secondary Income) -** aid, grants, and gifts from one country to another, migrant remittances

U.S. CURRENT ACCOUNT

	COMPONENT OF CURRENT ACCOUNT	VALUE IN BILLIONS OF DOLLARS FOR 2014
(1)	U.S. receipts for merchandise exports	+$1,635
(2)	U.S. payments for merchandise imports	−$2,372
(3) = (1)−(2)	U.S. net receipts for merchandise	−$737
(4)	U.S. receipts for service exports	+$710
(5)	U.S. payments for service imports	−$478
(6) = (4)−(5)	U.S. net service receipts	+$232
(7)	U.S. receipts due to primary income	+$819
(8)	U.S. payments of primary income	−$601
(9) = (7)−(8)	U.S. net primary income receipts	+$218
(10)	U.S. receipts due to secondary income	+$125
(11)	U.S. payments of secondary income	−$249
(12) = (10)−(11)	U.S. net secondary income receipts	−$124
(13) = (3) + (6) + (9) + (12)	U.S. current account balance	−$411

FINANCIAL ACCOUNT

- **Financial Account**
- **Direct foreign investment -** Investments in fixed assets in foreign countries.
- **Portfolio investment -** Transactions involving long term financial assets (such as stocks and bonds) between countries that do not affect the transfer of control.
- **Other capital investment -** Transactions involving short-term financial assets (such as money market securities) between countries.
- **Errors and omissions and reserves**

  Measurement errors can occur when attempting to measure the value of funds transferred into or out of a country.

CAPITAL ACCOUNT

- **Capital Account**
- Originally included the financial account.
- Includes the value of financial assets transferred across country borders by people who move to a different country.
- Includes patents and trademarks.
- Relatively minor(in terms of dollar amounts) to financial account.

BALANCE OF PAYMENTS

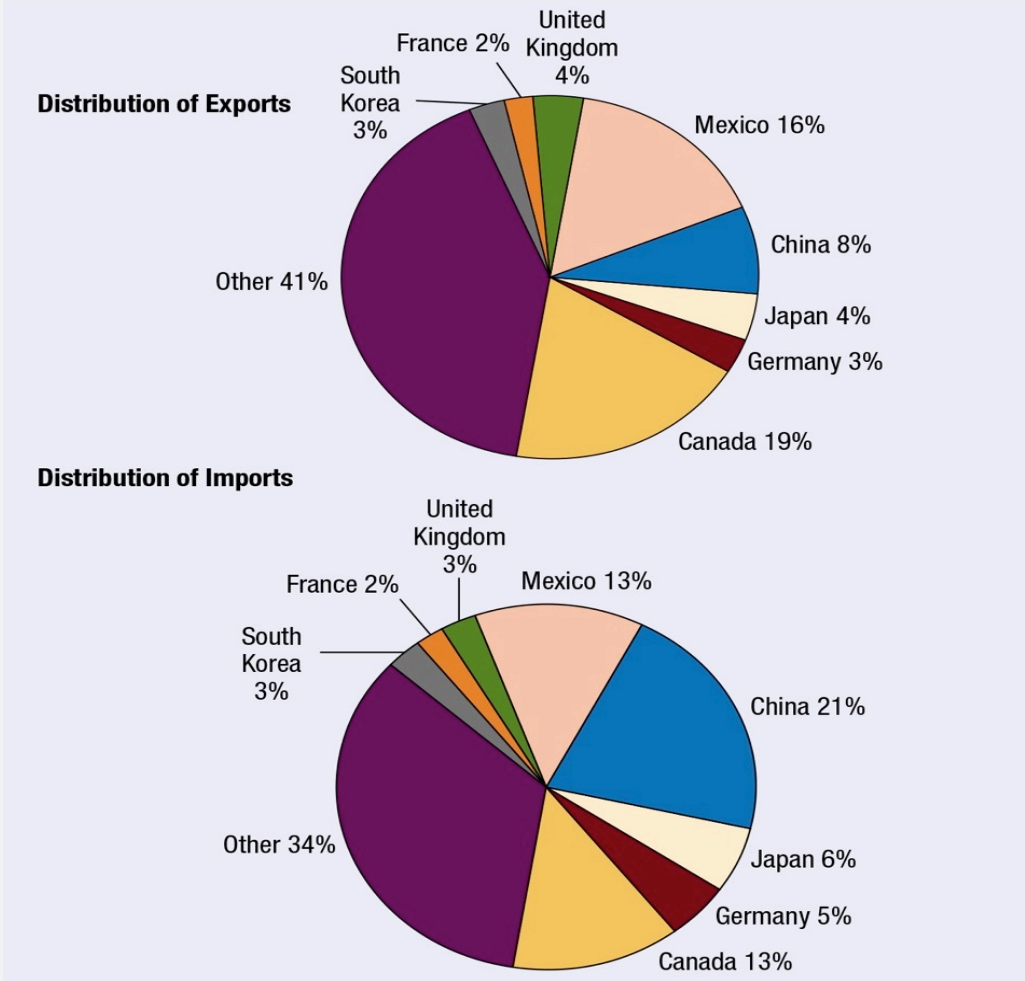
BALANCE OF PAYMENTS ACCOUNT OF A COUNTRY FOR A PARTICULAR YEAR

Credit Items (Receipts)		Debit Items (Payments)	
(1) Current Account (Rs in Crores)			
1. Merchandise Exports	200	1. a) Merchandise Imports	300
2. Services Exported	100	2. a) Services Imported	200
3. Investment Income (accrued from investment in foreign countries)	100	3. a) Investment Income (accrued by foreigners from their investment)	200
4. Unilateral Receipts	200	4. a) Unilateral payments	100
Sub Total	*600*	*Sub Total*	*800*
(2) Capital Account			
5. Long-term borrowings	200	5. a) Long-term lending's	80
6. Short-term borrowings	100	6. a) Short-term lending's	60
7. Gold shipment (Sale of gold)	100	7. a) Gold shipment (Purchase of Gold)	50
Sub Total	*400*	*Sub Total*	*190*
		8. Errors & Omissions	10
Total Receipts	*1000*	*Total Payments*	*1000*

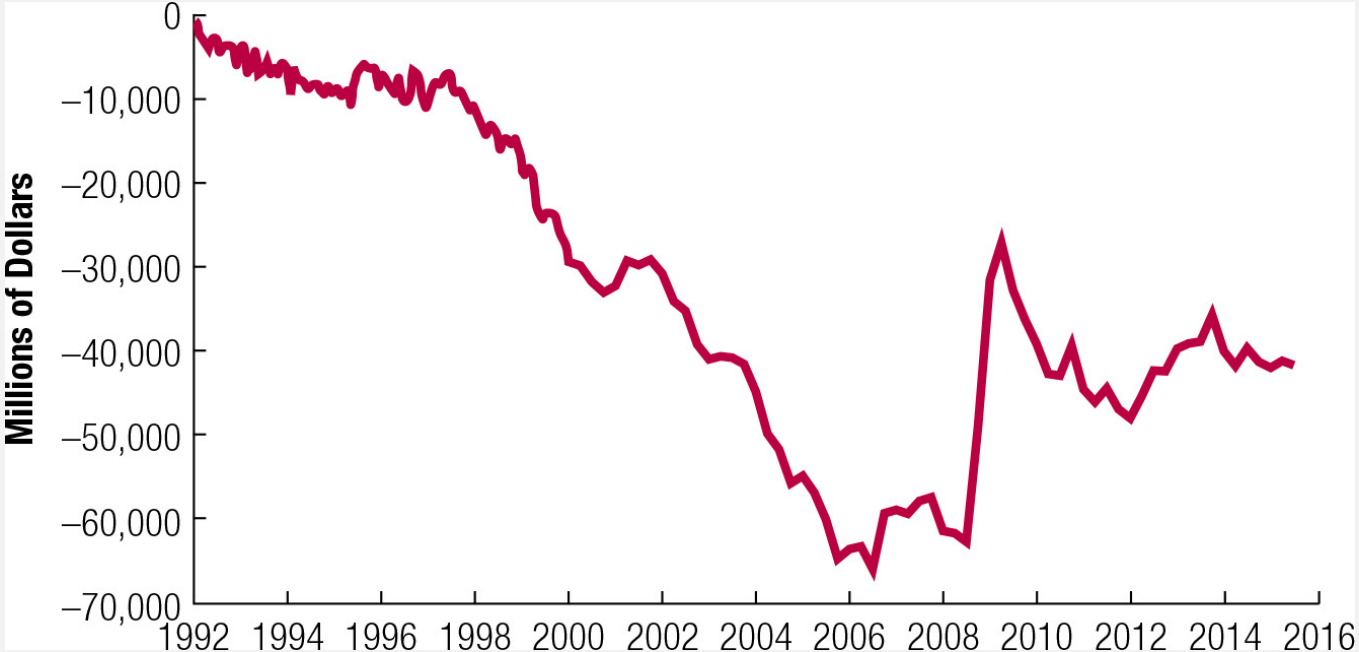
EVENTS THAT INCREASED TRADE VOLUME

- **Removal of the Berlin Wall:** Led to reductions in trade barriers in Eastern Europe.
- **Single European Act of 1987:** Improved access to supplies from firms in other European countries.
- **North American Free Trade Agreement (NAFTA):** Allowed U.S. firms to penetrate product and labor markets that previously had not been accessible.
- **General Agreement on Tariffs and Trade (GATT):** Called for the reduction or elimination of trade restrictions on specified imported goods over a 10-year period across 117 countries.
- **The European Union:** Free movement of products, services, and capital among member countries.
- **Inception of Euro:** Avoid exposure to exchange rate risk.

UNITED STATES EXPORTS AND IMPORTS



U.S. BALANCE OF TRADE OVER TIME



Trade Balance: Goods and Services, Balance of Payments Basis (BOPGSTB)

DOWNLOAD

Observation:
Jun 2023: **-65,497**
(+ more)
Updated: Aug 8, 2023

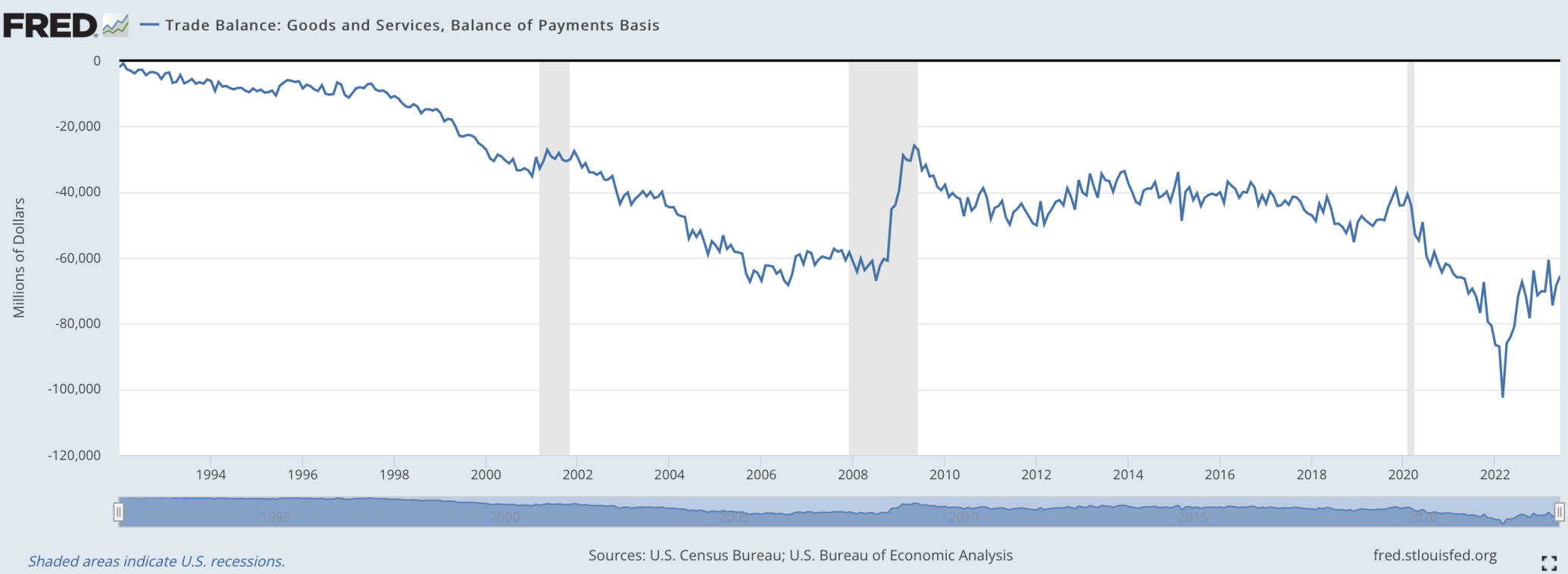
Units:
Millions of Dollars,
Seasonally Adjusted

Frequency:
Monthly

1Y | 5Y | 10Y | Max

1992-01-01 to 2023-06-01

EDIT GRAPH



SUMMARY OF BALANCE OF PAYMENTS

- CURRENT ACCOUNT

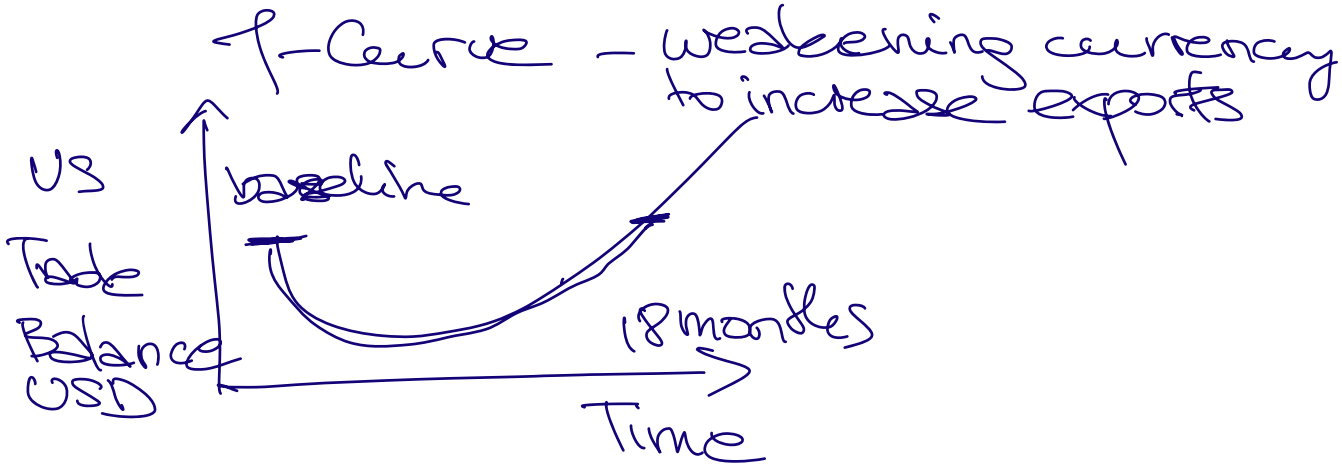
measures flow of funds due to trade and income generated from assets

  - Payments for Goods and Services – exports and imports
    - Exports-imports = trade balance = balance of trade
  - Primary Income – income from investments – dividends, interest etc
  - Secondary income – transfer payments for aid, grants, gifts

- FINANCIAL ACCOUNT
  - Direct Foreign Investment (that involves change of controlling stake)
  - Portfolio Investment – purchase and sale of capital assets like stock or bonds, but without change of controlling interest
- CAPITAL ACCOUNT
  - Funds and assets moving across borders
  - Sales of patents and trademarks

WHAT AFFECTS INTERNATIONAL TRADE?

- Cost of Labor
- Inflation
- National Income
- Credit conditions
- Exchange Rates
- Government policies


J-Curve – weakening currency to increase exports
US Trade Balance USD
baseline
18 months
Time

WHAT AFFECTS FOREIGN INVESTMENT?

Direct Foreign Investment (DFI)

- Removal of government barriers
- Privatization
- Potential for Economic Growth
- Tax Rates
- Exchange Rates

International Portfolio Investment

- Tax on Interest and Dividends
- Interest Rates
- Exchange Rates

IMPACT ON INTERNATIONAL CAPITAL FLOWS

- The United States relies heavily on foreign investment in:
  - U.S. manufacturing plants, offices, and other buildings.
  - Debt securities issued by U.S. firms.
  - U.S. Treasury debt securities.
- Foreign investors are especially attracted to the U.S. financial markets when the interest rate in their home country is substantially lower than that in the United States.
- **U.S. reliance on foreign funds:** In general, access to international funding has allowed more growth in the U.S. economy over time but has also made the U.S. more reliant on foreign investors.

AGENCIES FACILITATING INTERNATIONAL FLOW OF FUNDS

- International Monetary Fund (IMF)
  - Objective: Promote cooperation and flow of funds across nations
- World Bank — (International Bank for Reconstruction and Development)
  - Objective: Make loans to countries to promote economic growth

➔ the IMF focuses on macroeconomic and financial stability, while the World Bank concentrates on long-term economic development and poverty reduction.

- World Trade Organization (WTO)
  - forum for multilateral trade negotiations and settle disputes over GATT

GOVERNMENT POLICIES SUPPORTING TRADE

- import restrictions
- export subsidies
- piracy restrictions
- environmental restrictions
- labor laws
- business laws, red tape
- tax breaks
- government ownership or subsidies
- country security laws
- policies to punish other governments that don't follow common laws